

DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA



LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

Addressee: Long-term insurers			File: 10/17/1		
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	24 November 2009	1 January 2010	127.B.i (LT)	Issued	-
Subject: Insurance business carried on by an off-shore branch of a locally registered insurer					

1 PURPOSE

This directive provides guidance on the application of the Long-term Insurance Act No. 52 of 1998 (the Act) to the business of an off-shore branch of a locally registered long-term insurer.

The guidance reflects the Financial Services Board's interpretation of the Act and the manner in which it will apply the Act for regulatory purposes.

2 BACKGROUND

In recent years there has been considerable growth in the business conducted by off-shore branches of locally registered long-term insurers. A significant portion of this growth is attributable to insurance policies (mainly or exclusively with an investment content) that these off-shore branches actively market in South Africa to local residents.

The extent to which the Act applies to the business of off-shore branches of locally registered long-term insurers, however, appears to be subject to different interpretations by different insurers.

To facilitate the consistent interpretation of the Act (in a manner that gives effect to the objects of insurance regulation) across the insurance industry, the issuing of this Directive was deemed necessary.

3 OBJECTS OF THE ACT AND GENERAL LEGAL PRINCIPLES

The general objects of insurance regulation are –

- (a) to preserve confidence in the financial system and to minimise the risk of loss to consumers and investors arising from the failure of insurers by addressing matters that may have an impact on the financial condition of the insurer;
- (b) to protect consumers and investors in their dealings with insurers; and
- (c) to promote efficiency in the sector.

It, however, is acknowledged that –

- (i) the Act should not be read to apply extra-territorially unless it is clear that the legislature intended that result;
- (ii) a locally registered insurer, like an individual, may legally conduct business beyond the area of application of South African legislation; and
- (iii) an insurer's off-shore business will be subject to the law of the country where such business is conducted and will usually require the approval of (or the issuing of a licence by) the insurance regulator of the country from which the branch operates and the compliance with the laws of that country by the off-shore branch.

4 APPLICATION OF THE ACT: FINANCIAL CONDITION OF THE INSURER

All requirements of the Act relating to the financial condition of the insurer apply extra-territorially, including the off-shore business of a locally registered insurer.

This is so because off-shore branches are not separate legal entities established under the laws of the country in which they conduct business. They remain an integral part of the locally registered insurer. The locally registered insurer is the legal entity that assumes liability for the off-shore business of a branch, irrespective of whether the Act or a foreign law applies to the underlying policies issued.

The Registrar must therefore, to ensure that liabilities of the insurer can be met wherever they may have been incurred, –

- (a) be informed of all liabilities of the locally registered insurer; and
- (b) regulate compliance with all the provisions of the Act relating to the financial condition of the locally registered insurer.

Directive 127.B.i - Insurance business carried on by an off-shore branch of a locally registered insurer

To this end, the Registrar has issued a directive (Directive 127.A.i) requiring registered insurers to inform the Registrar before they establish an off-shore branch. Furthermore, details of off-shore liabilities are to be included in returns to the Registrar, irrespective whether or not such liabilities have to be disclosed to the foreign regulator.

5 APPLICATION OF THE ACT: CONSUMER PROTECTION AND OTHER PROVISIONS

If the business of an off-shore branch of a locally registered insurer constitutes insurance business deemed to be carried on in South Africa, all provisions of the Act apply to that business.

It is a factual enquiry whether the business, or part thereof, of an off-shore branch constitutes insurance business carried on in South Africa for purposes of the Act.

Section 7(3) of the Act provides as follows –

“.....a person shall, in the absence of evidence to the contrary, be deemed to be carrying on long-term insurance business in the Republic, if that person performs any act in the Republic —

- (a) the object or result of which is that another person will enter into or enters into, or offers to enter into or to vary, a long-term policy, other than a reinsurance policy, in terms of which the first-mentioned person undertakes to provide policy benefits to the other person; or*
- (b) in relation to a long-term policy, other than a reinsurance policy, in terms of which that person has undertaken to provide policy benefits, and which act is aimed at—*
 - (i) maintaining, servicing or surrendering, or otherwise dealing with, the long-term policy;*
 - (ii) collecting or accounting for premiums payable under the long-term policy; or*
 - (iii) receiving or submitting of, or assisting or otherwise dealing with the settlement of, a claim under the long-term policy.”*

In determining the facts, the provisions of section 7(3) of the Act must be applied. It follows that if the off-shore branch of a locally registered insurer performs in South Africa any of the acts described in section 7(3)(a) or (b) of the Act, then the Act applies to the business, or part of the business, of that off-shore branch.

Factors which may indicate that the business conducted by the off-shore branch is not insurance business conducted in South Africa, notwithstanding some aspects thereof being performed in South Africa, include the following:

Directive 127.B.i - Insurance business carried on by an off-shore branch of a locally registered insurer

- (a) The marketing of policies is not confined to South Africa.
- (b) The majority of policies are sold to persons ordinarily resident outside South Africa.
- (c) The policies are also marketed and sold to persons ordinarily resident in the country whose insurance regulator licensed the branch or under whose supervision the branch operates;
- (d) The policy contract is concluded outside South Africa in that the acceptance of the proposal is effected outside South Africa's borders.
- (e) Premiums are paid outside South Africa in a foreign currency.
- (f) The policy is issued by the off-shore branch of the insurer.
- (g) Policy benefits are to be discharged outside South Africa in a foreign currency. The same applies to the proceeds of loans made against the policy.
- (h) The policy contains an express term that a foreign law governs the contract and that the parties to the contract must submit to the jurisdiction of a foreign court.
- (i) The branch which issued the policy is licensed by, and operates under the supervision of, an insurance regulator of a country with an appropriate level of regulation and supervision.

If the locally registered insurer is of the opinion that the business of its off-shore branch does not constitute insurance business carried on in South Africa, it must adduce evidence, to the satisfaction of the Registrar, demonstrating that it is not carrying on insurance business in South Africa, prior to taking any action informed by its opinion. This will mitigate the risk of future regulatory action if the Registrar disagrees with the insurer's opinion.

Where the locally registered insurer is of the opinion that the business of its off-shore branch does not constitute insurance business carried on in South Africa, it should also indicate to the Registrar which provisions of the Act it feels should not apply to policies issued by its off-shore branch, provided these are unrelated to the financial condition of an insurer. The insurer should confirm its opinion with the Registrar prior to not complying with these provision. This will mitigate the risk of future regulatory action if the Registrar disagrees with the insurer's opinion.

6 MARKETING AND THE FINANCIAL ADVISORY AND INTERMEDIARY SERVICES ACT

It is recognised that marketing activities of an off-shore branch in South Africa is in itself not conclusive that the business should be deemed to be business to which all the requirements of the Act apply. However, where marketing is done in South Africa, this will be subject to the applicable laws of this country.

Directive 127.B.i - Insurance business carried on by an off-shore branch of a locally registered insurer

Particular reference should be made to the Financial Advisory and Intermediary Services Act No. 37 of 2002, and its subordinate legislation (codes of conduct).

In addition to the above, the Registrar expects insurers and intermediaries to disclose to potential policyholders who may enter into off-shore branch policies that –

- those policies may not be supervised by the South African regulator in every respect, where such business is deemed to be conducted off-shore; and
- in such cases, the consumer and investor protection measures provided for in the Act are not available to those potential policyholders.

7 FOREIGN BUSINESS OTHER THAN OFF-SHORE BRANCH OFFICE BUSINESS

The guidelines stated above relate to the business of an off-shore branch office of a locally registered insurer in South Africa only. It does not relate to or apply to foreign insurers, not registered as a long-term insurer in South Africa, wishing to operate in South Africa.

8 AVAILABILITY OF DIRECTIVE

This directive is available on the website (www.fsb.co.za) of the Financial Services Board.

Long-term insurers must bring this directive to the attention of their auditors (appointed in terms of section 19 of the Act) and the statutory actuary (appointed under section 20 of the Act).



REGISTRAR OF LONG-TERM INSURANCE